

BUSINESS FINANCE

FINAL EXAMINATION STUDY GUIDE

Senior High School – Grade 12 ABM | A.Y. 2026–2027

Purpose: This reviewer is based on the uploaded 7-page Business Finance Final Examination. It focuses on the exact concepts, formulas, problem types, and creating skills appearing in the paper.

Exam coverage: Financial planning; master budgets; sales and production budgets; working capital and liquidity; cash conversion cycle; receivables; cost behavior; percent-of-sales forecasting; debt coverage; financial risk; capacity; and practical financial planning.

Study reminder: The exam tests both computation and judgment. Learn what a number means—not only how to calculate it.

EXAM STRUCTURE

Part	Coverage	Preparation
I	Multiple Choice	Concepts, interpretation, evaluation, and financial decisions
II	Problem Solving	Sales budget, production budget, and pro forma income statement
III	Constructed Response	Create realistic financial management and personal financial plans

Source: Business Finance – FINAL EXAMINATION, A.Y. 2026–2027, pages 1–7.

1. FINANCIAL PLANNING

Financial planning is the process of setting a firm's financial goals and determining the strategies and resources needed to achieve them.

Its purpose is to give direction in using resources and help the firm prepare for future financing needs. It does not eliminate all business risks or guarantee higher profit every year.

Think: goals → resources → budgets → financing needs → monitoring.

2. MASTER BUDGET

The **sales budget** is the starting point of the master budget because many other budgets depend on expected sales.

Budget	What to remember
Sales budget	Forecast units sold and sales revenue.
Production budget	Determines units that must be produced.
Selling & administrative expense budget	Plans operating expenses.
Cash budget	Plans cash receipts, cash payments, and cash position.
Capital budget	Plans major long-term investments.

3. SALES BUDGET

Budgeted Sales Revenue = Budgeted Sales Units × Selling Price per Unit

If selling price changes by quarter, calculate each quarter separately, then add the quarterly revenue for the annual total.

4. PRODUCTION BUDGET

Required Production = Budgeted Sales + Target Ending Inventory – Beginning Inventory

Target ending inventory is added because the business wants enough stock on hand at the end of the period for future sales. The target ending inventory of one quarter becomes the beginning inventory of the next quarter.

Quick check: If production is greater than sales, inventory is being built. If production is less than sales, beginning inventory is being used.

5. NET WORKING CAPITAL

NWC = Current Assets – Current Liabilities

Net working capital shows the amount of current assets remaining after current liabilities are covered.

6. LIQUIDITY RATIOS

$$\text{Current Ratio} = \text{Current Assets} \div \text{Current Liabilities}$$

A current ratio of 0.80 means the firm has ■0.80 of current assets for every ■1 of current liabilities, which may signal difficulty paying short-term obligations.

$$\text{Quick Ratio} = (\text{Current Assets} - \text{Inventory}) \div \text{Current Liabilities}$$

If current ratio is high but quick ratio is much lower, a likely explanation is that a large portion of current assets is tied up in inventory.

Important: A higher current ratio is not automatically better. A very high ratio compared with the industry may indicate idle cash or excess inventory.

7. CASH CONVERSION CYCLE

$$\text{CCC} = \text{Inventory Conversion Period} + \text{Receivables Collection Period} - \text{Payables Deferral Period}$$

If a business takes longer to pay suppliers, the payables period increases and the CCC decreases, all else equal. Moving from 30 days to 45 days therefore reduces CCC by 15 days.

8. RECEIVABLES AND CREDIT TERMS

A decline in **receivable turnover** indicates slower collection. Longer credit terms may increase sales, but they can also delay cash collection and weaken liquidity.

A strong financial decision considers both the sales benefit and the cash-flow consequence.

9. FIXED VS. VARIABLE COSTS

Type	Behavior	Exam example
Fixed cost	Remains constant within the relevant range as activity changes.	Monthly rent of ■20,000
Variable cost	Changes with the level of sales/activity.	Sales commission of 5% of sales

If sales rise by 30%, fixed rent remains ■20,000, while total commission rises by 30% if the 5% rate remains unchanged.

10. PERCENT-OF-SALES FORECASTING

The percent-of-sales method projects selected income statement items using their historical relationship to sales.

$$\text{Historical Item-to-Sales \%} = \text{Historical Item} \div \text{Historical Sales}$$

$$\text{Projected Item} = \text{Projected Sales} \times \text{Historical Item-to-Sales \%}$$

Procedure: (1) Project sales using the stated growth rate. (2) Calculate historical COGS percentage. (3) Calculate historical operating-expense percentage. (4) Apply the percentages to projected sales. (5) Compute EBIT, EBT, tax, and net income.

In the exam data, 2025 COGS is ■3,000,000 on sales of ■5,000,000, so COGS is 60% of sales. Operating expenses of ■1,000,000 are 20% of sales. These percentages are retained for the projection.

Limitation: Percent-of-sales can be inaccurate when some assets or investments must be added in large increments rather than proportionally to sales, such as a new plant.

11. TIMES INTEREST EARNED

$$\text{TIE} = \text{EBIT} \div \text{Interest Expense}$$

A higher TIE generally means stronger ability to cover interest expense. In the exam comparison, 6.0 represents stronger interest coverage than 3.0 or 1.2, assuming other factors are comparable.

12. ROE AND FINANCIAL RISK

A high ROE is not automatically a sign of low risk. Heavy borrowing can boost ROE through financial leverage while increasing financial risk.

When evaluating a business, consider return *and* risk together.

13. SALES FORECASTING AND CAPACITY

A credible sales projection should be based on evidence, not simply on an owner's desired target or one month's sales multiplied by 12.

Better basis: historical sales + market information/survey + planned promotions + realistic capacity.

If budgeted sales exceed plant capacity, management should revise the sales target or evaluate the cost of expanding capacity or outsourcing.

14. FINANCIAL DECISION-MAKING: QUICK INTERPRETATION

Situation	Best interpretation
Profits rise but cash is short	Check timing of customer collections and supplier payments; manage the cash budget and working capital.
Current ratio is far above industry average	Possible idle cash or excess inventory; efficiency should be examined.
Current ratio high, quick ratio low	Inventory likely makes up a large share of current assets.
Receivable turnover falls after longer credit terms	Sales may rise, but collection slows and liquidity may suffer.
Production exceeds sales	Target ending inventory may be higher than beginning inventory.
Sales exceed production capacity	Revise target, expand capacity, or outsource after evaluating cost.
ROE high and debt ratio high	High return may be boosted by leverage; financial risk is also high.

15. PROBLEM-SOLVING: SALES BUDGET

For each quarter: **Units × Selling Price = Sales Revenue**. Then add the quarterly revenues to obtain annual revenue.

If the selling price changes by quarter, do not use one annual price for all quarters.

16. PROBLEM-SOLVING: PRODUCTION BUDGET

Step 1: Sales + target ending inventory = total units needed.

Step 2: Total units needed – beginning inventory = required production.

Remember: The previous quarter's ending inventory becomes the next quarter's beginning inventory.

17. PROBLEM-SOLVING: PRO FORMA INCOME STATEMENT

Step	What to do
1	Increase actual sales by the expected growth rate.
2	$\text{COGS \%} = 2025 \text{ COGS} \div 2025 \text{ Sales}$.
3	$\text{Operating expense \%} = 2025 \text{ Operating Expenses} \div 2025 \text{ Sales}$.
4	Apply each percentage to projected sales.
5	$\text{Sales} - \text{COGS} = \text{Gross Profit}$.
6	$\text{Gross Profit} - \text{Operating Expenses} = \text{EBIT}$.
7	$\text{EBIT} - \text{Interest Expense} = \text{EBT}$.
8	$\text{EBT} \times \text{Tax Rate} = \text{Income Tax}$.
9	$\text{EBT} - \text{Income Tax} = \text{Net Income}$.

Exam formula: If the tax rate is 30%, $\text{Income Tax} = \text{EBT} \times 30\%$.

18. CONSTRUCTED RESPONSE: ■50,000 STARTUP PLAN

The first creating question asks you to create a financial management plan for a small business with ■50,000. Your response should explain how you would use capital, control expenses, generate profit, and maintain sustainability.

- Give a realistic allocation of the ■50,000.
- Prioritize essential inventory, equipment, or operating resources.
- Keep a cash reserve/working-capital buffer.
- Explain pricing and how the business will generate profit.
- Control expenses and keep simple financial records.
- Explain how profits will be saved or reinvested for sustainability.

19. CONSTRUCTED RESPONSE: PERSONAL FINANCIAL PLAN

The second creating question asks how you would manage money to achieve your dreams. Make the plan specific and realistic.

- Set a clear financial goal.
- Prepare a realistic income-and-expense budget.
- Save regularly and control unnecessary spending.
- Build an emergency fund.
- Use appropriate investments only after establishing a stable financial base.
- Review progress and adjust the plan as circumstances change.

5-point response strategy: Concept → Specific action → Amount/percentage or example → Reason → Sustainability.

20. FINAL REVIEW CHECKLIST

Before the exam, make sure you can explain or calculate each item below without looking at your notes.

Topic	Ready?
Financial planning and its purpose	■
Why the sales budget starts the master budget	■
Sales revenue = units × selling price	■
Required production = sales + ending inventory – beginning inventory	■
Net working capital	■
Current ratio and its interpretation	■
Quick ratio and inventory's effect	■
Cash conversion cycle	■
Receivable turnover and collection speed	■
Fixed vs. variable costs	■
Percent-of-sales forecasting	■
Times interest earned	■
ROE and financial leverage/risk	■
Credible sales forecasting	■
Capacity constraints	■
How to prepare a ■50,000 business financial plan	■
How to create a personal financial plan	■

FINAL EXAM TIPS

1. **Read the situation first.** Many multiple-choice questions ask for the best interpretation, not merely a definition.
2. **Write the formula before calculating.** This reduces sign and substitution errors.
3. **Check units.** Distinguish pesos, units, percentages, days, and times.
4. **For judgment questions, compare benefits and risks.** Higher sales, higher ratios, or higher ROE are not automatically better.
5. **For creating questions, be realistic.** Give specific actions, explain why they work, and show how the plan can remain sustainable.
6. **Show your solution.** The problem-solving section specifically instructs students to show their work.

Study goal: Be able to explain the financial meaning of your answer, not just produce a number.

This study guide was prepared from the provided Business Finance Final Examination. It does not replace the teacher's instructions or classroom notes.